

The City would then be entitled to receive a high return on its enormous investment in the new lines. If and after all such payments were made in full, including back accruals, the City and the Interborough would then share equally in surplus profits. However, the preferential payments due the City would be so heavy that experts had testified that under the most favorable conditions it would be *more than 30 years* before there could be any surplus income to divide with the company.

The subjoined brief table shows the significance of these facts.

Interborough Rapid Transit System

Item	Actual earnings 1917	<i>Maximum earnings when contract with City became operative</i>
Balance for I.R.T. stock	\$9,100,000	\$5,200,000
Share applicable to Interborough Consolidated Corp.	8,800,000	5,000,000
Interest on Inter. Consol. bonds	3,520,000	3,520,000
Balance for Inter. Consol. pfd.	5,280,000	1,480,000
Preferred dividend requirements	2,740,000	2,740,000
Balance for Inter. Consol. common	2,540,000	<i>1,260,000(d)</i>
Earned per share, Inter. Consol. pfd.	\$11.50	\$3.25
Earned per share, Inter. Consol. common	2.50	nil

The underlying facts proved beyond question, therefore, that instead of a brilliant future being in store for Interborough, it was destined to suffer a severe loss of earning power within a year's time. It would then be quite impossible to maintain the \$6 dividend on the holding company's preferred stock, and no earnings at all would be available for the common for a generation or more. On this showing it was mathematically certain that both Interborough Consolidated stock issues were worth far less than their current selling prices.⁷

⁷ Indications pointed strongly to manipulative efforts by insiders in 1916-1917 to foist these shares upon the public at high prices before the period of lower earnings began. The payment of full dividends on the preferred stock, during an interlude of large earnings known to be temporary, was inexcusable from the standpoint of corporate policy but understandable as a